IPO Performance Analysis: Do IPOs Actually Make Money After Listing Day?

Project: DA-14 | Indian Mainboard IPO Analysis
Period: 30 October 2022 – 30 October 2025
Sample: 194 IPOs

Objective

To evaluate whether Indian Mainboard IPOs generate positive returns after listing and understand how entry price, subscription demand and sector performance relate to investment outcomes.

Three Key Insights

1. Positive average returns do not represent the typical IPO outcome.

The average twelve-month return from the IPO issue price was 35.61%, compared with a median return of 16.44%. This difference indicates that a relatively small number of high-performing IPOs may be lifting the average.

2. Listing-day investors experienced less favourable returns.

Among 185 IPOs with valid observations, the average twelve-month return from the listing-day closing price was 15.65%, but the median was -1.01%. Only 90 IPOs (48.65%) generated positive returns, while 95 (51.35%) generated negative returns.

3. IPO outcomes showed substantial variation.

The standard deviation of returns from the listing-day closing price increased from 42.66 percentage points at six months to 61.69 percentage points at twelve months. Twelve-month returns ranged from -63.82% to +261.06%, demonstrating considerable variation in outcomes.

Recommendation

Investors should not rely solely on listing gains or subscription multiples when evaluating IPOs. They should consider entry valuation, company fundamentals, sector conditions and downside risk. Median returns and the proportion of profitable IPOs should be evaluated alongside average returns.

Data Limitations

- Nine IPOs had missing listing-day return observations; four had missing six-month and twelve-month observations.
- Three IPO subscription records were unavailable through the API, and one contained bid information without sufficient offered-share data to calculate subscription multiples.

- Historical stock prices were sourced from Yahoo Finance and were not independently verified against official exchange data for every IPO.
- Closing-price returns do not necessarily include dividends and should not be interpreted as total shareholder returns.
- Sector and subscription comparisons are observational and do not establish causation.
- A Nifty 50 benchmark comparison was not completed.

Disclaimer: This analysis is for educational purposes only and does not constitute investment advice.